THE TRADING ACADEMY

Dominique Trudel

Backtesting Rules

Clearly write down the rules of the strategy you are going to backtest. Think of this as your checklist. You may refer back to this document in a year's time and know precisely what you tested.

Strategy name	DXY Open
Watchlist	DXY, USDCHF, USDCAD, USDJPY, GBPUSD, EURUSD, AUDUSD, NZDUSD, XAUUSD
Time Period	August 31st 2023 - August 31st 2024
Strategy Rules	Step 1: Anticipate Check the Daily TF 1. We consider the daily our dominant trend or direction, only use it for direction 2. Identify the market condition - Is it trending or in consolidation? 3. Are the MAs properly aligned? Uptrend - 200 on the bottom, 100 in the middle, and 50 on the top Downtrend - 200 on the top, 100 in the middle, and 50 on the bottom

4. Are MAs fanned out? Are they expanding or contracting?

4H TF Analysis

1. Identify the market condition - Is it trending or in consolidation?
2. Are the MAs properly aligned?

   Uptrend - 200 on the bottom, 100 in the middle, and 50 on the top

   Downtrend - 200 on the top, 100 in the middle, and 50 on the bottom

   Are MAs fanned out? Are they expanding or contracting?

1. Ask yourself: Are the two time frames aligned?
2. Is the market currently correcting or a continuation phase?
   a. Correction - lower time frame is moving against the higher time frame trend
   b. Continuation - lower time frame is moving in the same direction as the higher time frame trend
3. Trading WITH the higher time frame trend will always be more consistent and we will hold those trades longer
4. Trading AGAINST the higher time frame trend means we need to be more careful, as the trend might resume and go against our trade at any point
5. Each time the price pivots higher or lower in the direction of the trend, look at the MACD pivot (on all TFs)
6. Is there a divergence?

   If no - the trend is likely to continue

   If yes - the trend is likely losing momentum and a correction/reversal might be coming

7. Mark Supply/Demand Levels and Fibonacci Levels (0.382, 0.618)

15 min TF Analysis

Mark the DXY Opening level on chart

Check the news for any major events that could impact our

trade

Step 2: Confirm:

1. Check DXY price action around London session open or just before, 0230 - 0300 EDT (0130 on Sunday)

    a. Was the opening level breached? Candles closing confidently on the opposite side of it?

2. Ask Yourself: Did anything happen during Tokyo sessions that might initiate a trend and negate our setup?

    b. Do you see strong momentum, uncharacteristic for the Asian session?

3. If both 1&2 are answered as No - Has the price moved away from it far enough for you to take a trade as DXY opening level being your target?

    c. If Yes, identify a recent swing higher/lower to use as a stop loss
        i. Do you have enough room to your target for an initial 1-1 Reward to Risk Ratio?
    d. If Yes: look for entry signal on the 15 min chart
        i. Engulfing Candle
        ii. 3 Bar Reversal Pattern
        iii. Pin Bar
    e. If No: No trade at this time!
        i. Wait for price to drift further away from DXY opening level and reassess

Step 3: Execute

1. Do one last check of the calendar to make sure we are not missing anything - forexfactory
    - Are there upcoming high impact news?
        - If Yes: Do you have time to be out of the trade before news hits?
        - If No: Consider waiting to enter the trade after news is released and market settles.
2. Once we have an entry signal, we enter the market.
    - We execute on the FX pairs we have selected according to their correlation to DXY
    - Our initial target is DXY opening level at which point we take 1/2 or 3/4 of our position off
    - My entries have a 25 pip stop loss and the portion of my trade I intend to close has a 25 pip

target as well

3. I would adjust both of those as needed based on stop loss assessment
    - If my target is behind a level that might prevent it hitting target, I might aim for just before that level
    - If my 25 stop loss is just before a prior pivot, I would extend it a couple Pips to use the pivot level as stop loss
4. I will close trades manually as needed if DXY level is hit and I haven't gotten 25 pips

Step 4: Trade management

- Be prepared to reevaluate and adapt to three trade scenarios: profit, sideways movement, or reversal
- Check higher time frame analysis - are we trading in the direction of the higher trend or not?
- Is DXY moving with momentum or correctively in its current wave?
- Any potential pivot levels near us - can we take advantage of them if near?
- Any news event coming up we need to be aware of?

Schedule	0230am EST - 0500am EST, 0930am EST - 1200pm EST